

US EQUITY VIEWS

More AI capex at the expense of buybacks

- **We forecast S&P 500 cash spending will grow by +21% in 2026 and by +13% in 2026.** Capex of \$2 trillion and share buybacks of \$1 trillion will represent the largest uses of cash. For most S&P 500 companies, solid cash flow growth and healthy balance sheets will support solid cash spending growth. However, persistent uncertainty will weigh on cash spending on the margin.
- **The AI investment boom will drive a continued shift from buybacks to capex for the S&P 500.** Consensus estimates show the largest AI hyperscalers spending \$755 billion on capex in 2026 (+83% year/year), which would represent 100% of their cash flows from operations. These companies have also reduced buybacks, which fell by -64% year/year for the group during 1Q. We forecast S&P 500 capex will grow by +33% in 2026 alongside just +3% growth in gross buybacks. The outlook for AI hyperscaler capex growth in 2027 remains highly uncertain, but our base case remains for continued growth at a decelerating pace.
- **M&A activity has remained resilient despite elevated uncertainty.** Strategic US acquirors have announced nearly \$700 billion in M&A YTD, 140% higher than at the same point in 2025. We forecast the cash component of completed M&A will increase by +80% in 2026 and by +15% in 2027 for S&P 500 companies.

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Summary of our forecasts

We forecast S&P 500 cash spending will grow by +21% in 2026 and +13% in 2027.

Capex will represent the largest use of cash in dollar terms. We expect buyback growth will remain relatively muted through 2027.

Exhibit 1: GS forecasts for S&P 500 cash spending

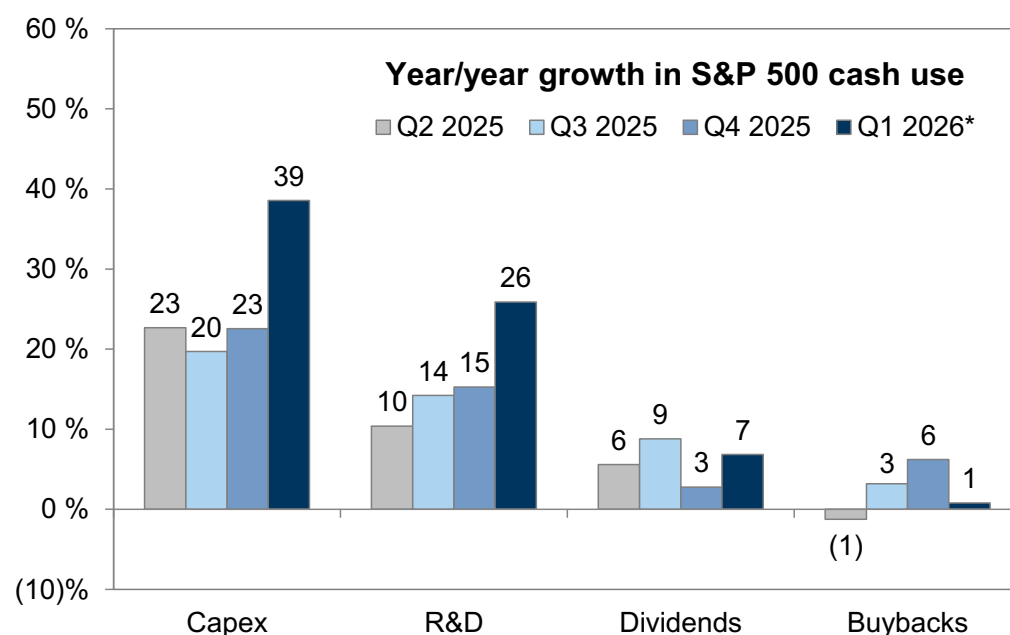
Cash use (\$ billion)	2021	2022	2023	2024	2025	2026E	2027E
Capital expenditures	\$739	\$892	\$958	\$1,077	\$1,296	\$1,724	\$2,103
Share buybacks	919	950	823	982	1,066	1,098	1,153
Dividends	548	598	621	676	711	753	791
R&D	454	516	582	647	709	837	921
Cash acquisitions	349	288	318	255	273	492	566
Total cash use	\$3,008	\$3,244	\$3,302	\$3,638	\$4,056	\$4,904	\$5,534
% year/year growth							
Capital expenditures	11 %	21 %	7 %	12 %	20 %	33 %	22 %
Share buybacks	71	3	(13)	19	9	3	5
Dividends	5	9	4	9	5	6	5
R&D	13	14	13	11	10	18	10
Cash acquisitions	56	(17)	11	(20)	7	80	15
Total cash use	28 %	8 %	2 %	10 %	11 %	21 %	13 %

Source: Compustat, Goldman Sachs Global Investment Research

The Q1 earnings season highlighted the ongoing rotation from buybacks to capex and R&D. S&P 500 capex growth is tracking at +39% during Q1 compared with +1% for S&P 500 gross buybacks.

Exhibit 2: Change in S&P 500 cash spending during recent quarters

* Q1 2026 based on companies representing 85% of S&P 500 spending that have reported results thus far



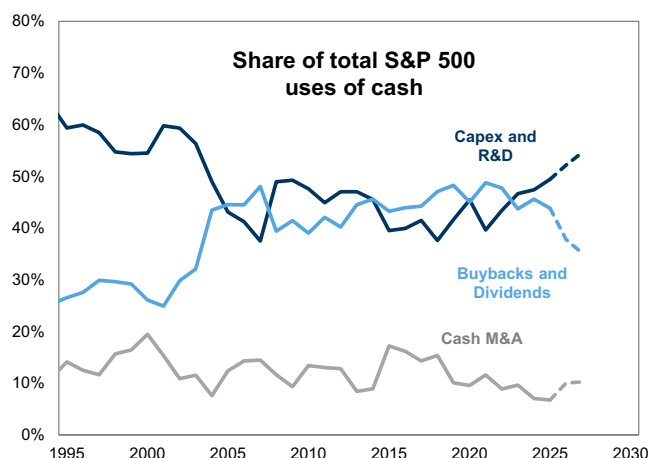
Source: FactSet, Compustat, Goldman Sachs Global Investment Research

Our forecasts imply a continuation of these shifting cash spending priorities. We

forecast 55% of cash spending will be allocated towards capex and R&D in 2027 compared with 35% to buybacks and dividends.

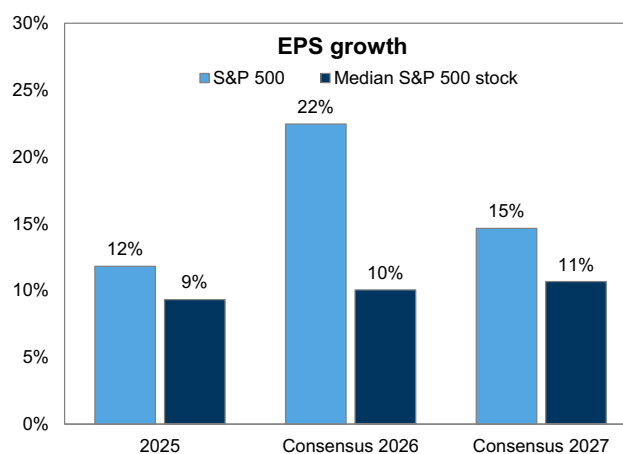
For the average S&P 500 company, solid cash flow growth will drive solid cash spending growth. In our macro models, earnings growth is generally the most important driver of growth in each use of cash. According to consensus estimates, the median S&P 500 company should grow earnings by a solid 10% in 2026 and 11% in 2027. Consensus expects aggregate S&P 500 EPS will grow even faster (+22% in 2026 and +15% in 2027). However, these estimates are boosted by the largest stocks and some idiosyncratic factors that may not necessarily translate into uniform cash spending growth.

Exhibit 3: Shifting S&P 500 cash spending priorities in recent years



Source: Compustat, Goldman Sachs Global Investment Research

Exhibit 4: Median S&P 500 company is expected to deliver solid EPS growth



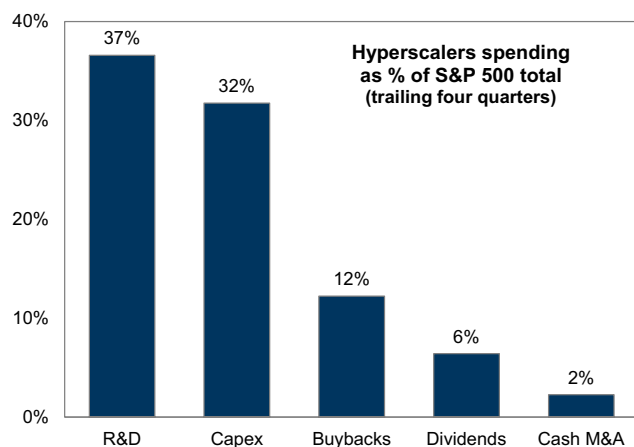
Source: FactSet, Goldman Sachs Global Investment Research

The aggregate S&P 500 cash spending figures will be impacted by the spending priorities of the AI hyperscalers. The large public AI hyperscalers (AMZN, GOOGL, META, MSFT, ORCL) accounted for 34% of S&P 500 capex and R&D compared with 10% of S&P 500 buybacks and dividends in 2025. Consensus expects the hyperscalers to spend \$755 billion on capex in 2026, representing growth of 83%. The outlook for capex growth in 2027 remains uncertain, but we expect a deceleration in the pace of growth.

Increased hyperscaler capex has come at the expense of buybacks, which fell by 64% year/year for the group during 1Q. The hyperscalers now allocate 20% of total spending to buybacks and dividends compared with an average of 34% from 2017-2022. We expect minimal hyperscaler buyback growth through 2027. Consensus estimates show hyperscaler capex amounting to 100% of cash flows from operations this year, which in turn leaves little room to return cash to shareholders without a sharp deceleration in capex growth, a large drawdown of cash balances, or a major increase in debt. Some of the buyback headwind from the hyperscalers will likely be offset by increased buyback activity among the beneficiaries of that capex, such as semiconductor firms.

Exhibit 5: Hyperscalers represent 34% of S&P 500 capex and R&D

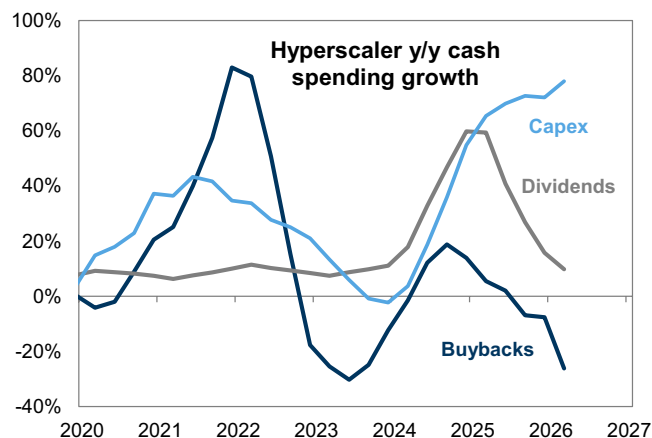
large hyperscalers include AMZN, GOOGL, META, MSFT, ORCL; trailing four quarters through Q4 2025



Source: Compustat, Goldman Sachs Global Investment Research

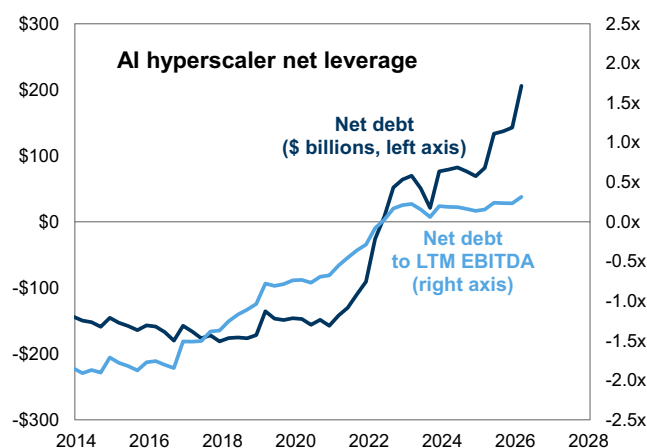
Exhibit 6: Hyperscalers have pulled back on buybacks recently

large hyperscalers include AMZN, GOOGL, META, MSFT, ORCL; trailing four quarters through Q1 2026

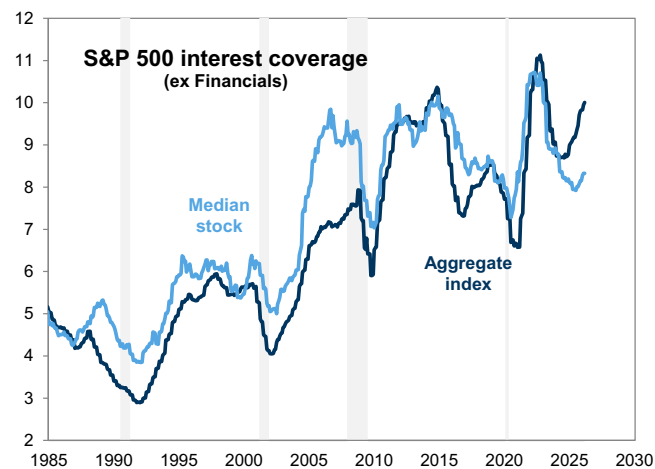


Source: Compustat, Goldman Sachs Global Investment Research

Both hyperscaler and broader corporate balance sheets remain relatively healthy despite a pickup in debt issuance. Hyperscaler net debt has increased from \$69 billion at the start of 2025 to \$206 billion today. However, net debt relative to EBITDA equals just 0.3x, suggesting ample capacity for debt issuance if they believe the capex opportunity is attractive. For the broader S&P 500, net leverage for the median S&P 500 stock ranks in the 87th percentile since 1985, but interest coverage equals 8x (62nd percentile) and much of S&P 500 debt is fixed rate maturing beyond 2028. Looking forward, our credit strategists expect heavy supply in credit markets in 2026 and modestly widening spreads given the AI build-out and strong M&A-related debt financing.

Exhibit 7: Hyperscalers have increased net debt but net leverage remains low


Source: Compustat, Goldman Sachs Global Investment Research

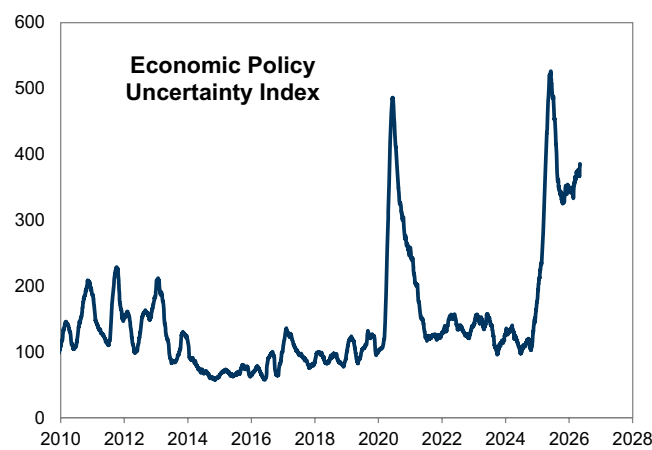
Exhibit 8: S&P 500 interest coverage ratio remains healthy relative to history


Source: Compustat, Goldman Sachs Global Investment Research

However, persistently high policy uncertainty poses a marginal headwind to cash spending for the average stock. Uncertainty related to tariffs has largely been replaced with uncertainty related to commodities and supply chains. The Economic Policy

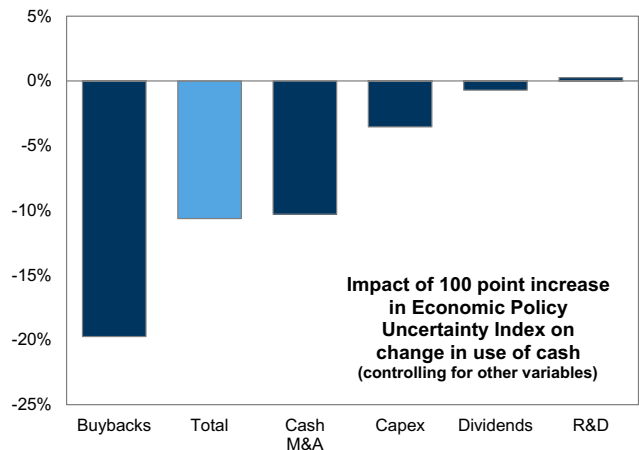
Uncertainty Index is extremely elevated relative to history. Controlling for other variables, every 100 point increase in policy uncertainty is associated with a 10% decrease in S&P 500 cash spending, with buybacks faring particularly poorly (-20%).

Exhibit 9: Policy uncertainty remains extremely elevated versus history
rolling 3-month average of daily readings



Source: Goldman Sachs Global Investment Research

Exhibit 10: Buybacks are historically the most sensitive use of cash to uncertainty
based on individual long-term macro models



Source: Goldman Sachs Global Investment Research

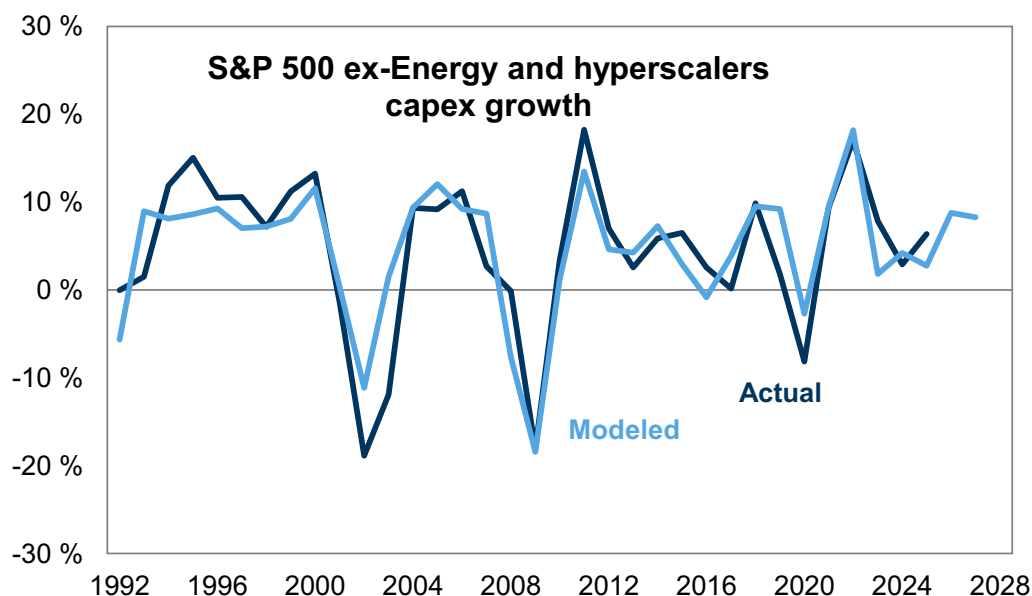
Capex and R&D

We forecast S&P 500 capex will grow by +33% in 2026 and +22% in 2027, driven primarily by the AI hyperscalers. The five largest AI hyperscalers – AMZN, GOOGL, META, MSFT, ORCL – accounted for 32% of S&P 500 capex in 2025. We separately estimate nominal capex for the hyperscalers, the S&P 500 Energy sector, and the S&P 500 ex-Energy to arrive at our aggregate S&P 500 capex forecast.

Excluding Energy and AI hyperscalers, we forecast capex will grow by +9% in 2026 and +8% in 2027. We model capex growth as a function of earnings growth, policy uncertainty, and financial conditions. Solid earnings growth and easy financial conditions will more than offset elevated policy uncertainty. The index will also benefit from secular investments in power even excluding Energy and the AI hyperscalers. During 1Q earnings season, the median S&P 500 company grew capex by +8% year/year. Our economists' capex tracker also points to solid growth, with the soft data component at +5% and the hard data component at +7% during April.

Consensus expects Energy capex growth will be relatively muted, but the recent rise in energy prices could lead to a capex response in 2027 and beyond. On the back of higher oil prices, analysts have revised Energy cash flows higher. However, their estimates imply the benefit will be relatively short-lived. Consensus estimates imply Energy sector cash flow from operations growth of +29% in 2026 but just +1% growth in 2027. As a result, analysts estimates assume a relatively small capex response, with Energy capex growing by +5% in 2026 and 0% in 2027.

Exhibit 11: The outlook for S&P 500 capex excluding Energy and AI hyperscalers



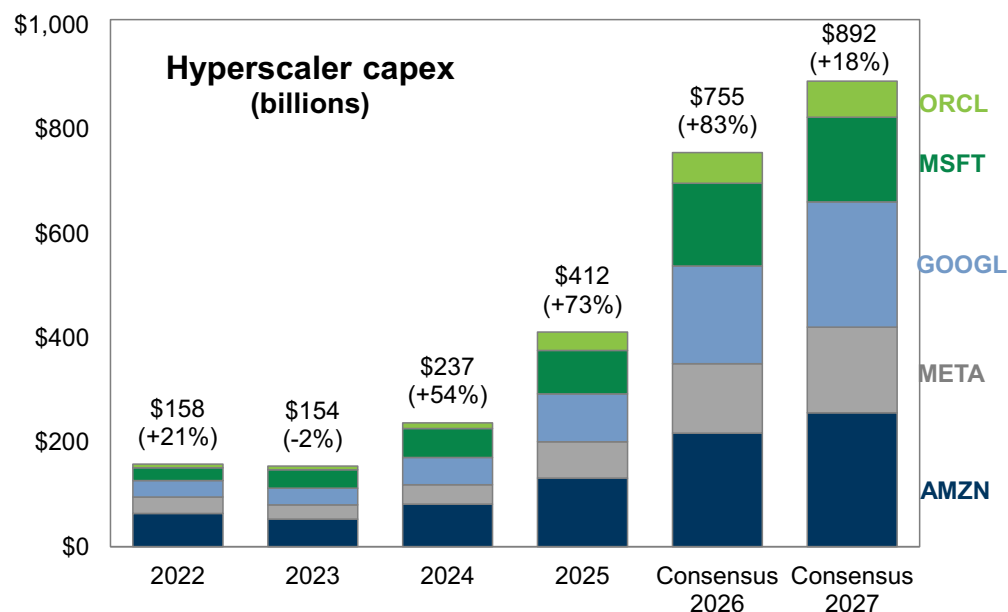
Source: Goldman Sachs Global Investment Research

Consensus expects the AI hyperscalers will spend \$755 billion on capex in 2026.

Analysts lifted 2026 capex estimates for the group by more than \$90 billion during 1Q earnings season. Part of the upward capex revisions reflects the increase in component costs, such as memory. Microsoft stated “for calendar year 2026, we expect to invest

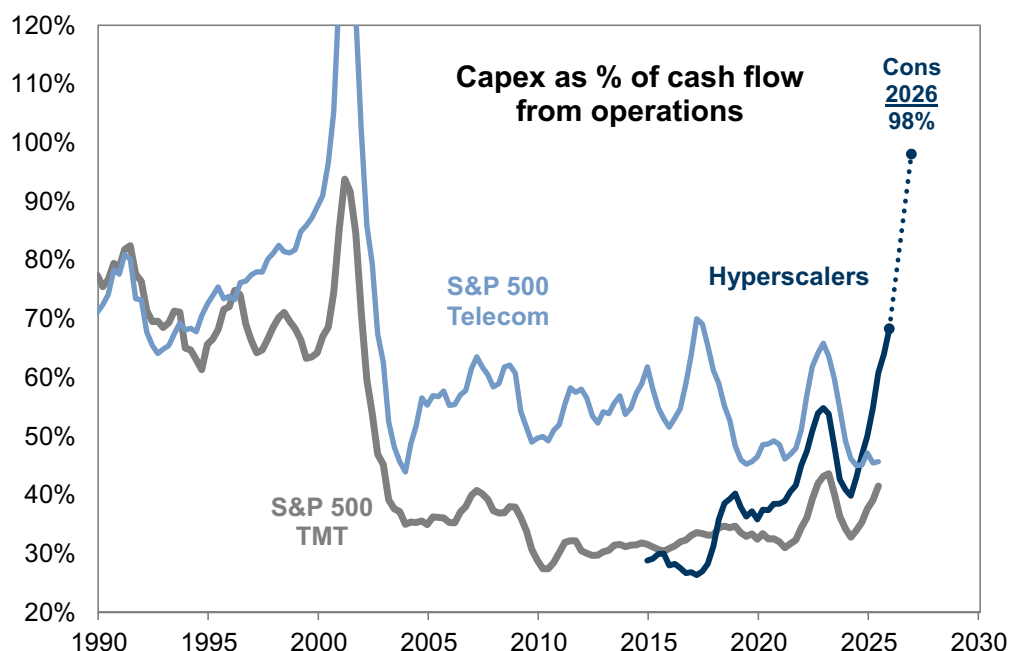
roughly \$190 billion in capital expenditures, which includes approximately \$25 billion from the impact of higher component pricing.” Meta raised its 2026 capex range by \$10 billion, noting it “reflects our expectations for higher component pricing this year and, to a lesser extent, additional data center costs to support future year capacity.” We believe the balance of risks to these estimates is tilted further to the upside, given managements have emphasized the inability of supply to keep pace with demand.

Exhibit 12: AI hyperscaler capex growth is accelerating in 2026



Source: FactSet, Goldman Sachs Global Investment Research

Hyperscaler capex in 2027 remains a large source of uncertainty, but we expect the growth rate will likely decelerate. Hyperscaler capex in 2026 is on track to reach 100% of hyperscaler cash flows from operations. For 2027 capex growth to match 2026 capex growth, the hyperscalers would need to spend roughly \$1.4 trillion on capex. Consensus estimates that cash flows from operations for these companies will equal \$980 billion. Without sharp upward revisions to hyperscaler cash flow growth, these companies would need to increase net debt by \$400 billion. We expect incremental debt issuance among the group but ultimately expect a deceleration in the pace of capex growth.

Exhibit 13: Hyperscaler capex will equal roughly 100% of cash flows from operations

Source: FactSet, Goldman Sachs Global Investment Research

We expect S&P 500 R&D will grow by +18% in 2026 and by +10% in 2027. In our macro model, sales growth is the primary driver of R&D growth. The median S&P 500 company is forecast to grow sales by +7% in 2026 and +6% in 2027. We also account for the fact that R&D is heavily concentrated in a few large TMT and Health Care firms, where idiosyncratic spending will likely drive R&D growth that is stronger than implied by our macro model. The top 10 stocks account for more than half of S&P 500 R&D and consensus expects they will grow R&D by +27% in 2026 and 12% in 2027.

Exhibit 14: Consensus R&D growth for the largest stocks

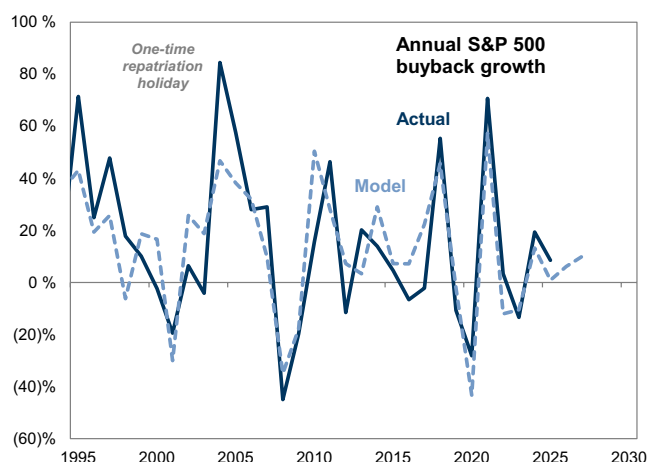
Ticker	Name	Sector	Share of S&P 500 2026E R&D	Consensus R&D growth	
				2026E	2027E
AMZN	Amazon.com, Inc.	Discretionary	16%	21 %	15 %
META	Meta Platforms Inc	Comm Services	10%	39	19
GOOGL	Alphabet Inc.	Comm Services	9%	20	19
AAPL	Apple Inc.	Info Tech	6%	22	7
MSFT	Microsoft Corporation	Info Tech	5%	10	12
MRK	Merck & Co., Inc.	Health Care	3%	79	(38)
NVDA	NVIDIA Corporation	Info Tech	3%	93	27
LLY	Eli Lilly and Company	Health Care	2%	21	11
JNJ	Johnson & Johnson	Health Care	2%	4	5
INTC	Intel Corporation	Info Tech	2%	2	6
Top 10 total			57%	27 %	12 %

Source: FactSet, Goldman Sachs Global Investment Research

Buybacks

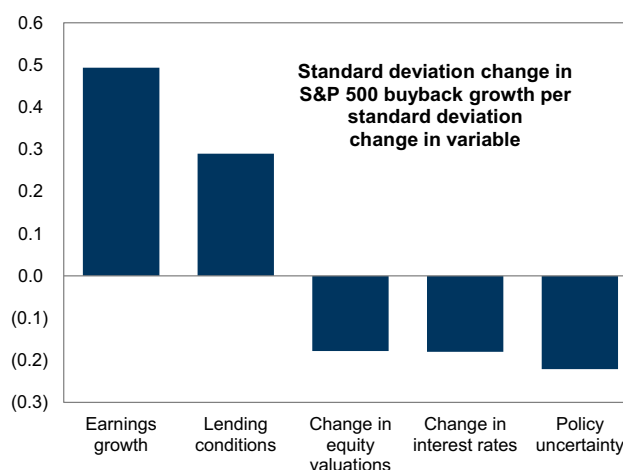
We forecast S&P 500 gross buybacks will grow by +3% in 2026 and +5% in 2027. We model annual S&P 500 buyback growth as a function of earnings growth, valuation, policy uncertainty, and financial conditions. Historically, earnings growth has been the most important driver of buyback growth. However, rising equity valuations, higher policy uncertainty, and tighter borrowing conditions have contributed to relatively weak growth in buybacks in recent quarters. Data from the GS Buybacks Desk suggest volumes YTD are tracking at 1.1x the level of 2025 activity.

Exhibit 15: Our macro model points to modest buyback growth in 2026 and 2027



Source: Goldman Sachs Global Investment Research

Exhibit 16: Drivers of buyback growth in our macro model



Source: Goldman Sachs Global Investment Research

Reduced buyback activity among the hyperscalers will weigh on aggregate S&P 500 buybacks. Hyperscaler capex has come at the expense of buybacks, which fell by 64% year/year during 1Q. The group now allocates 15% of total cash spending on buybacks compared with an average of 27% from 2017–2022. We expect hyperscaler buyback growth will likely stagnate through 2027. With all of cash flows from operations expected to be allocated towards capex, it leaves less room to return cash to shareholders without a sharp deceleration in capex growth, a drawdown of cash balances, or an increase in debt.

Increased buybacks from Banks and the beneficiaries of AI capex, such as semis, should help offset some of those headwinds. NVDA and AVGO have generated extremely strong cash flow growth and have started to repurchase more stock. They bought back \$52 billion in 2025, compared with \$40 billion in 2024. NVDA authorized a \$60 billion buyback program in late 2025 and AVGO authorized a \$10 billion program this year. Financials represent one quarter of S&P 500 buybacks and appear poised for further growth.

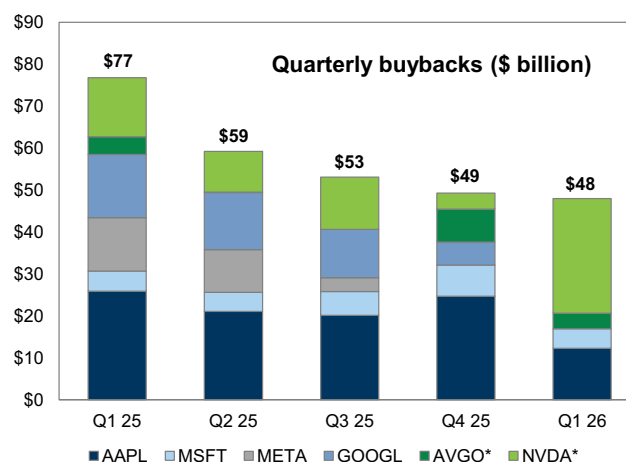
Exhibit 17: Consensus buyback growth estimates by sector

Sector	Cons. 2026E buybacks	
	Share of total	Year/Year growth
Information Technology	34 %	31 %
Financials	27	18
Communication Services	9	(21)
Health Care	6	10
Consumer Discretionary	6	(14)
Industrials	7	(18)
Energy	6	16
Consumer Staples	2	(9)
Materials	2	10
Utilities	2	126
Real Estate	0	50
S&P 500	100 %	11 %

Source: FactSet, Goldman Sachs Global Investment Research

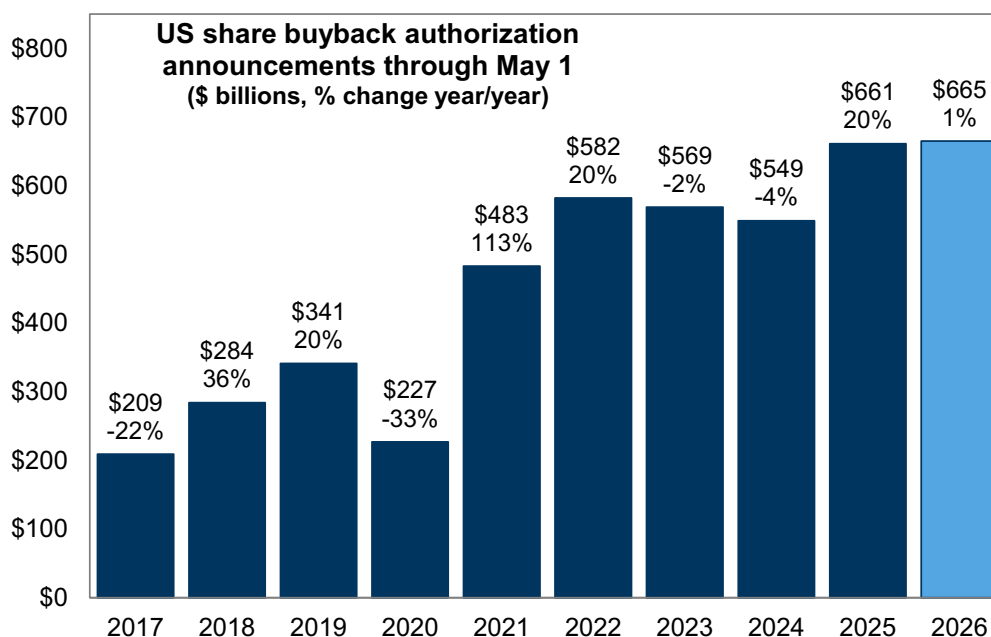
Exhibit 18: Mega-cap tech buyback activity by quarter

* AVGO and NVDA reflect consensus estimates in Q1 26



Source: FactSet, Goldman Sachs Global Investment Research

Buyback authorizations remain large in dollar terms but are roughly unchanged year/year. US corporates have authorized \$665 billion in authorizations YTD, led by Tech and Financials.

Exhibit 19: Buyback authorizations have totaled \$665 billion YTD

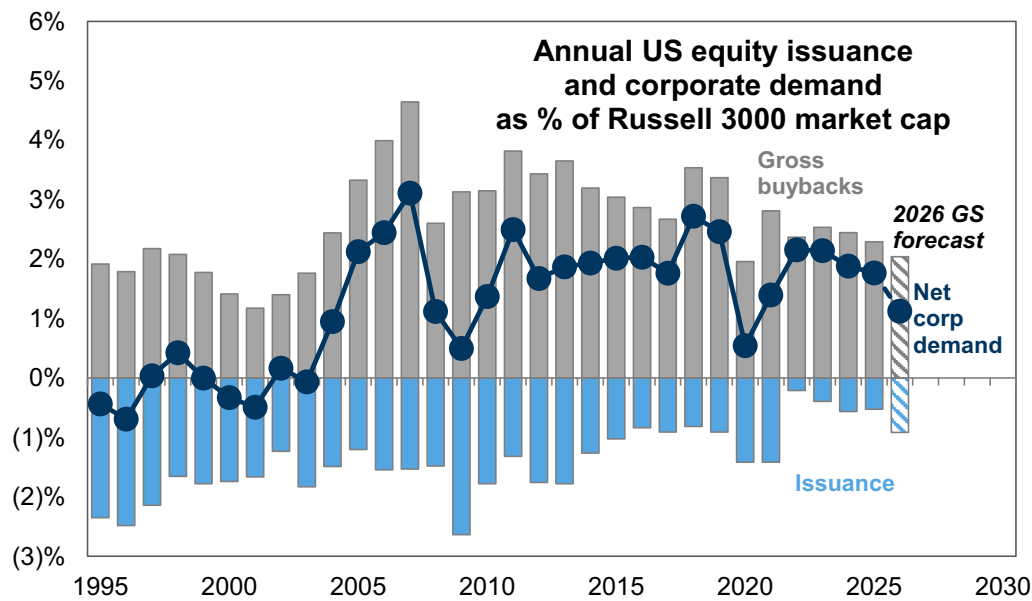
Source: Goldman Sachs Global Investment Research

Gross buybacks will more than offset issuance in 2026 even if several of the largest companies choose to go public. However, the net buyback yield will weaken further.

In dollar terms, over \$1 trillion of gross buybacks will more than offset an increase in expected issuance in 2026. We estimate roughly \$160 billion in gross proceeds from IPOs and additional \$440 billion in additional equity issuance this year. However, net corporate demand will struggle to keep pace with rising market caps, pushing the net

buyback yield to its lowest level since 2020. In 2027, potential lock-up expirations and additional public offerings will likely put further pressure on the S&P 500 net buyback yield.

Exhibit 20: Net buyback yield will decline further in coming years



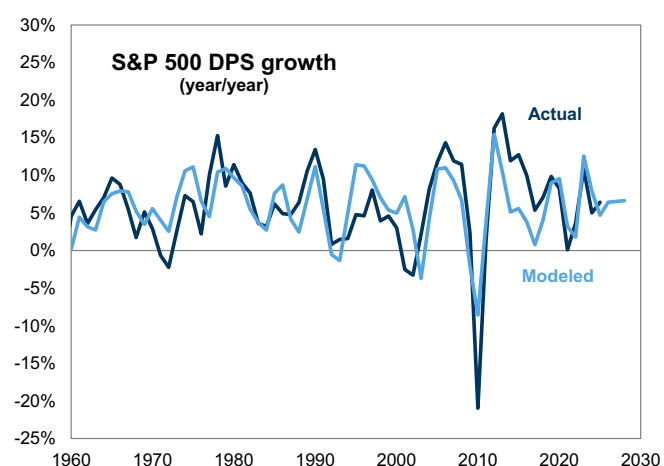
Source: Goldman Sachs Global Investment Research

Dividends

We forecast S&P 500 dividends will grow by +6% in 2026 and +5% in 2027. We model dividend growth as a function of earnings growth in the concurrent year and in each of the two years prior. Solid EPS growth should support modest dividend increases. Through the first four months of the year, S&P 500 DPS grew by 6.6% year/year.

We forecast +5% annualized DPS growth over the next 10 years. We forecast +6% annualized EPS growth over the next 10 years. Our DPS estimates imply a further decline in the dividend payout ratio to roughly 25%, in part due to the rising popularity of buybacks.

Exhibit 21: Our model of DPS growth is based on EPS growth



Source: Goldman Sachs Global Investment Research

Exhibit 22: GS vs. market-implied 10-year DPS forecasts

	Goldman Sachs top-down forecast		Dividend futures		GS vs. market
	Level	Growth	Level	Growth	
2025A	\$79	5 %	\$79	5 %	
2026	84	6	83	5	1 %
2027	88	5	84	1	5
2028	93	5	84	0	11
2029	97	5	84	0	16
2030	102	5	84	(0)	22
2031	107	5	84	0	27
2032	112	4	85	1	32
2033	117	4	85	(0)	38
2034	121	4	86	1	42
2035	126	4	86	0	47
2025-2035 CAGR		5 %		1 %	

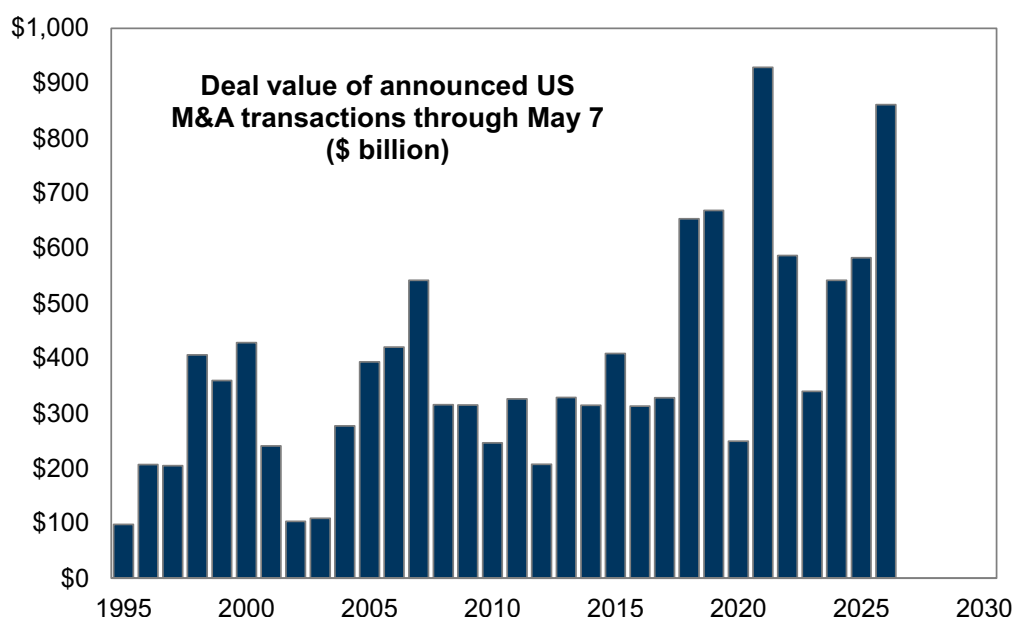
Source: Goldman Sachs Global Investment Research

Cash M&A

Despite a challenging macro backdrop, US M&A activity has been strong. Strategic US acquirors have announced nearly \$700 billion in M&A YTD, 140% higher than at the same point in 2025. Sponsor M&A growth has been weaker, totaling \$190 billion (-37% year/year).

We forecast completed cash M&A for the S&P 500 will grow by +80% in 2026 and +15% in 2027. From a macro perspective, M&A activity will be supported by resilient CEO confidence, solid US economic growth, and relatively easy financial conditions. M&A will also benefit from the combination of a friendly regulatory backdrop and a desire for AI-related business transformation. Our forecast for completed M&A is sensitive to the closing timelines of a few large deals that have already been announced.

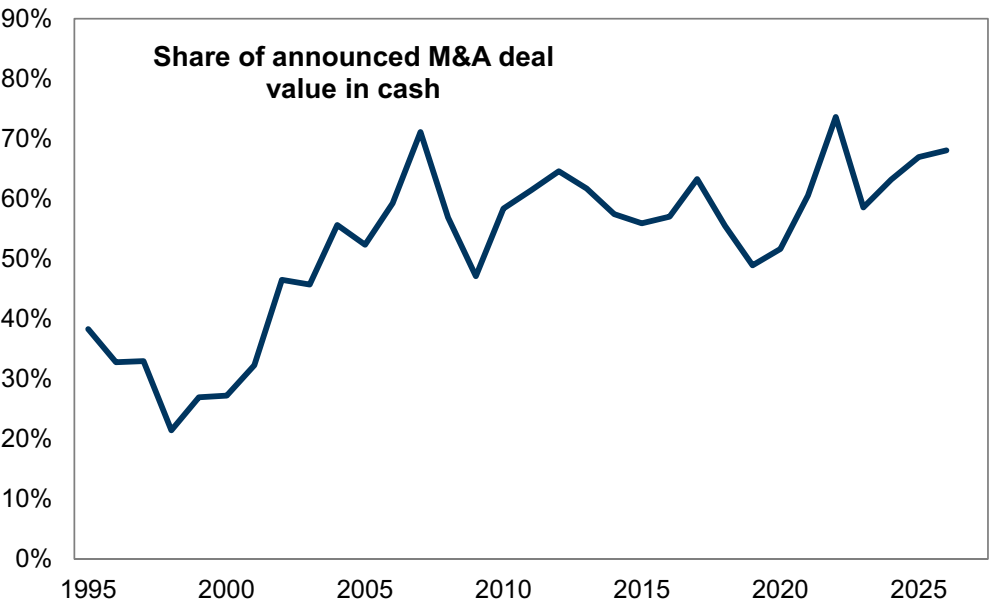
Exhibit 23: Announced US M&A has been resilient YTD despite elevated uncertainty
US strategic and sponsor M&A over \$100 million



Source: Dealogic, Goldman Sachs Global Investment Research

The cash component of M&A activity has remained close to recent averages despite high equity valuations. Companies historically have shifted towards share-based compensation when valuations are elevated. However, cash has represented nearly 70% of announced M&A deal value YTD.

Exhibit 24: Cash has represented nearly 70% of consideration for announced M&A YTD
US strategic and sponsor M&A over \$100 million



Source: Dealogic, Goldman Sachs Global Investment Research

Disclosure Appendix

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We, Ryan Hammond, Ben Snider, Jenny Ma, Daniel Chavez, Kartik Jayachandran and Christophe Sung, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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